

COMM1140 Financial Management – Term 1, 2026

Group Assignment

Instructions:

The group assignment is worth 25% of the total assessment for this course. In your Week 5 tutorials, your tutor will randomly divide you into groups. Each group will be allocated one of the below companies, which you must use to complete the task below (hereafter, 'assigned company'). The 2025 annual report of your assigned company must be used to complete this assessment. For comparative purposes, you may also use other relevant annual reports or public information.

1. Lovisa
2. EVT
3. Michael Hill
4. Flight Centre
5. Temple & Webster

Assignment:

All Australian businesses are currently facing uncertain trading conditions. High inflation and labour shortages have created sudden cost pressures and forced businesses to pass on cost increases to their customers. Additionally, rising interest rates pose a growing risk to businesses that have accumulated high levels of debt and increase the likelihood of a global recession occurring in the next 12 months.

You are a UNSW Commerce graduate in 2025 who quickly found employment in Felicity Trust, a financial services company that specialises in providing loans to large Australian businesses. Your manager has asked you to prepare a presentation to help Felicity Trust decide whether it should continue lending money to *your assigned company*. This is the first task your manager has asked you to complete independently, and you want to ensure that you impress! Luckily, you took notes when the task was assigned to you, which should be strictly followed to complete this task. **NOTE: Please also carefully read the marking criteria (rubric) for this assignment (provided in a separate document) which provides you with further details about what is expected.**

The notes are as follows:

Question 1: Present a description of the business and the nature of its operations. This should focus on providing a short explanation of the business's history, how it generates revenue, and who forms its customer base. **(7 marks)**

Question 2: Present a financial statement analysis of the **financial performance** and **financial position** of the company. **(35 marks)**

Question 3: Identify **one risk** from reading the reports prepared by key management personnel (i.e., Board Chair and/or CEO) in the 2025 annual report that may impact the company's future financial performance and/or financial position. You should explain clearly how the risk you identify could affect the ratios discussed in Question 2 above. **(11 marks)**

Question 4: Value your assigned company using Firm Multiples and Equity Multiples based on **three similar companies**. Use the Guidance provided in the Week 5 Lecture notes. **(33 marks):**

- a) Compare your allocated company with three similar companies and determine which one is the most similar. For the company that is most similar, provide supporting evidence and references of the comparison and state any assumptions (if any) you are making for this comparison. **(11 marks)**
- b) Calculate two per share valuation ranges and the average valuations of your allocated company's outstanding equity based on the three similar companies. One valuation range and its average should be calculated using equity multiples and the other range and its average using firm multiples. Provide evidence of data collected with proper referencing of sources and the calculations to substantiate your valuations. **(11 marks)**
- c) Give reasons for the width of the two valuation ranges in part (b). What factors, if any, may be causing or even distorting the valuation range? Provide evidence and the sources of the evidence that support your explanation. **(11 marks)**

Question 5: Present a short description of whether you would recommend Felicity Trust to continue providing loans to your assigned company in the short term. You should clearly describe how and why you came to this decision. **(5 marks)**

Submission Requirements

Two separate submissions are required as part of this group assignment, as outlined below.

1. Group Contract

All groups must complete a group contract that sets expectations as to how the assignment will be completed. A template for the group contract is provided on Moodle.

The total maximum grade for the group contract is **2 marks**.

Submission Requirements:

To be awarded the 2 marks for the group contract, one member of each group should email a completed group contract to your tutor **by 5pm on Monday, March 23rd (Week 6)**. All group members should be cc'd on the email. Groups get 2 marks for completing this task on time and 1 mark for a late submission. The aim of the group contract is to get groups thinking about how they will complete the assignment and to begin to assign responsibilities for what needs to be done.

2. Video Submission

To answer **Questions 1-5**, you should prepare a **20 minute pre-recorded video presentation**, clearly following the submission requirements set out below. An additional **7 marks** are available for the following:

- a. Structure and Professionalism of the Presentation. **(3 marks)**
- b. Timing of the Presentation. **(2 marks)**
- c. Use of Visual Aids. **(2 marks)**

The total maximum grade for the video submission is **98 marks**.

Submission Requirements:

One member of each group will be required to submit your pre-recorded 20 minute video presentation via the dedicated submission link on Moodle **by 9am on Tuesday, April 14th (Week 9)**. Late submissions will be subject to the penalties outlined below.

Late Submission Policy

Late submission will incur a penalty of 5% per day or part thereof (including weekends) from the due date and time. An assessment will not be accepted after 5 days (120 hours) of the original deadline unless special consideration has been approved.

Submission Expectations – Video Presentation

1. To answer Questions 2, 3 and 4, you **may only use** the ratios provided in the “COMM1140 Ratio List” document (available in the “Group Assignment” Section on Moodle).
2. You **must** show a copy of the ratios you use **to analyse the financial position and financial performance of the company** allocated to your group for Question 2. Tables should be embedded in your presentation that show all ratios used to interpret the financial performance and financial position of your assigned company and its peers over the timeframe selected for your analysis (i.e., 2 years or more). We recommend that ratios be presented in table format using the categories discussed in the lecture (profitability, efficiency, liquidity, financial structure). Past students have found the IBISWorld database a useful source of industry averages (as used in your tutorial homework for Week 4).
3. **Question 4** is about multiples valuation. Start with a brief overview of the method applied, then walk your audience through how you used that method to value the firm. Be sure to explain any assumptions you made and how they might impact your valuation. You need to explain the rationale for choosing your comparison companies. Gather data on the firm you are valuing as well as the firm's competitors. There are several **sub-methods** for multiples valuation within firm multiples and equity multiples. Choose **2 sub-methods (1 from each valuation method)** that are most appropriate for your analysis. Discuss reasons for width of the range of the valuations.
4. You **must** also show the sources of information and a copy of the calculations you conducted to answer Question 4 during your presentation.
5. We recommend that groups use **data visualisations** to support your answer to Question 2 and Question 4 (or any other question you feel appropriate).
6. We recommend splitting your 20 minutes based on the overall weight of each question. For instance, question two is worth 35/98 marks (approximately 36% of the total marks). This means you should spend about 36% of the 20 minutes on this question, or approximately 7 minutes.

Other guidance:

1. The assignment primarily covers content discussed in the **lectures in Weeks 4 and 5**. You should be able to begin answering Questions 1-3 after the Week 4 lecture/tutorial and Question 4 after the Week 5 lecture/tutorial.
2. A marking rubric is provided on Moodle. You could be asked to complete this task in a graduate role in business. Often, for these tasks in the real world, you do not have a sample to work off; your manager simply gives you the task, and you must respond! The idea of this task is to prepare you for such a scenario that you will encounter in the future. If you have questions, please post them in the relevant **Q&A forum** on Moodle.
3. We encourage groups to spend time preparing their presentation slides used in the video submission. Try not to overload your slides with information – this is a common mistake we see each term. Please do ensure, however, that the information you include in your slides communicates the key messages you want to highlight in response to each question.
4. Working in a group can be a challenging process. We encourage groups to work through any challenges that they encounter as a team. The COMM1140 teaching team should only be contacted as a last resort to resolve group conflict.
5. To ensure that you reflect on your contribution and the contribution of your group members, we will ask you to respond to a short **Peer Evaluation Survey** on Moodle in Week 10. Please note that completing this survey is **NOT compulsory** and only required if there were any issues within your group. If you believe that one or more member(s) of your group did not contribute to the assignment, you can express your concerns in the survey. The COMM1140 teaching team will review the student responses, and students found not to contribute to the group assignment may receive a reduced grade.

COMM1140 Group Assignment - FAQs

FAQs about formatting and general questions regarding the video submission

1. What is the preferred **formatting** for the pre-recorded video submission?

- We recommend that you use Zoom to record your presentation. All group members could be on the call, and we do recommend that the group member speaking at any one time is shown on camera. Others can be off-camera when they are not speaking if they wish. This would be expected in a professional environment.
- Alternatively, you can also record your presentation using PowerPoint.

2. What sort of **referencing** is expected of us?

- As it's a presentation, we don't have specific referencing requirements. You can include a reference list at the end of your slide deck if you wish.

3. Do we show our **faces**? (i.e. is it a video presentation?)

- It is mandatory for the speaker to show their face during the video presentation while they are speaking - similar to how we record the Zoom lectures.

4. Which **site** should we use the **data** from for consistency?

- You are free to source data from any reliable database. However, using Yahoo Finance for Q4 & IBISWorld for industry averages in Q2 might be more convenient as comprehensive instructions are provided in the tutorial.

5. Is there any leeway on the **duration of the recording**? For example, $\pm 10\%$ length or is 20 minutes just a rough guideline? What is the maximum duration I am allowed to record our presentation?

- ± 30 seconds is considered acceptable. Anything outside of this range will be penalized 1 mark, and excess content will not be graded (beyond 20 minutes 30 seconds).

6. Can a 20-minute video be **recorded** by one team member? Will other team members who did not participate in the recording be penalised for this?

- All group members must be involved in the recording of the video.

7. Does our **video recording** have to be in one take or can each group member film their part individually and we cut it together?

- You can record it individually and make necessary edits afterwards.

8. Does **talking speed** matter in the video?

- Generally, students should seek to speak at a similar pace. There are marks for professionalism, and this would fall into this category.

9. Does the **cover sheet** have to feature in the video, or can it just be the first slide in the slide deck submission?

- Please submit the cover sheet as the first page of the PDF containing your presentation slides for your 20-minute video. The cover sheet does not need to be featured in the video.
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